

portfolio managers is stock specific company research, the equity sales person focuses on providing their portfolio manager clients with equity analyst research. Since this is the research that could potentially move stock prices immediately, it has a high level of urgency. The *program sales trader* for the most part takes the lead in connecting their clients with quantitative research. Since they deal with these quant managers on a daily basis, they are well aware of their clients' research interests. Quant managers do not have the same sense of urgency in reviewing quant research, since this research is not company specific and will not move stock prices. Again, they are interested in quant research to verify their own findings, to gain insight into what is affecting the market, what approaches are working and not working, and for additional investment ideas. Buy-side quant managers will often re-check and verify the results of the sell-side quant research teams before they incorporate any of the findings into their portfolio. Transaction cost analysis (TCA) research, as mentioned, is not intended to provide managers with stock specific information, stock recommendations, or price targets. TCA research is performed to gain an understanding of the market. This information is then incorporated into the underlying trading algorithms and pre-trade analytics that are intended to assist investors in determining the appropriate algorithm for their order.

Consequently, electronic trading desks usually have a team of analysts that provide buy-side traders with transaction cost analysis research. This research will also provide insight into what algorithms or trading strategies are best suited for various market conditions. The primary client of TCA research is the buy-side trader, although recently a trend has emerged where portfolio managers (both fundamental and quantitative) are becoming interested in learning how to incorporate transaction costs into the portfolio construction phase of the investment cycle and uncover hidden value and performance. TCA is beginning to target managers as well as traders.

Table 1.1 Trading Floor Function		
Desk	Primary Research	Sales
Cash	Equity	Institutional Sales Team
Program	Quant	Program Sales Traders
Electronic	TCA	Algo Sales Team